

Markov's Inequality

Let $u(x)$ be a nonnegative function of the random variable X . If $E(u(x))$, then for every positive constant c ,

$$P(u(x) \geq c) \leq \frac{E(u(x))}{c}$$

Proof

Let $A = \{x: u(x) \geq c\}$, $A^c = \{x: u(x) < c\}$

We assume X is continuous (similar for discrete)

$$\begin{aligned} \Rightarrow E(u(x)) &= \int_{-\infty}^{\infty} u(x)f(x)dx = \underbrace{\int_A u(x)f(x)dx}_{\text{both non-negative}} + \int_{A^c} u(x)f(x)dx \\ &\geq \int_A cf(x)dx = cP(A) = cP(u(x) \geq c) \end{aligned}$$

$\Rightarrow$ Now we have that

$$E(u(x)) \geq cP(u(x) \geq c) \Rightarrow \frac{E(u(x))}{c} \geq P(u(x) \geq c)$$

$$\Rightarrow P(u(x) \geq c) \leq \frac{E(u(x))}{c}$$

Alternative Markov's Inequality

Let X be a nonnegative random variable

$$P(X \geq c) \leq \frac{E(X)}{c}$$

Proof

$$\begin{aligned} E(X) &= \int_0^{\infty} xf(x)dx = \int_0^c xf(x)dx + \int_c^{\infty} xf(x)dx \\ &\geq \int_c^{\infty} xf(x)dx \\ &\geq \int_c^{\infty} cf(x)dx = c \int_c^{\infty} f(x)dx = cP(X \geq c) \end{aligned}$$

$$E(X) \geq cP(X \geq c) \Rightarrow \frac{E(X)}{c} \geq P(X \geq c)$$

Convex functions

A function Φ defined on an interval (a, b) , $-\infty \leq a < b \leq \infty$ is said to be a convex function if for all $x, y \in (a, b)$ and for all $0 < \gamma < 1$,

$$\Phi[\gamma x + (1-\gamma)y] \leq \gamma\Phi(x) + (1-\gamma)\Phi(y)$$

If the inequality is strict, we say Φ is strictly convex.

Chebyshev's Inequality

Let X be a random variable with finite variance σ^2 , then for every $k \neq 0$

$$P(|X - \mu| \geq k\sigma) \leq \frac{1}{k^2}$$

Or equivalently,

$$P(|X - \mu| \leq k\sigma) \geq 1 - \frac{1}{k^2}$$

Proof

$$\Rightarrow P(|X - \mu| \geq k\sigma) = P((X - \mu)^2 \geq k^2\sigma^2) \leq \frac{E((X - \mu)^2)}{k^2\sigma^2} = \frac{\sigma^2}{k^2\sigma^2} = \frac{1}{k^2}$$

$\Rightarrow$ Then we are left with:

$$\Rightarrow P(|X - \mu| \geq k\sigma) \leq \frac{1}{k^2}$$

Example

Let X have pdf $f(x) = \frac{1}{2\sqrt{3}}$ for $-\sqrt{3} < x < \sqrt{3}$. Find $P(|X - \mu| \geq k\sigma)$ for $k = \frac{3}{2}$ and compare it to the upper bound provided by Chebyshev's inequality.

$$\mu = E(X) = \int_{-\sqrt{3}}^{\sqrt{3}} x \cdot \frac{1}{2\sqrt{3}} dx = 0$$

$$E(X^2) = \int_{-\sqrt{3}}^{\sqrt{3}} x^2 \cdot \frac{1}{2\sqrt{3}} dx = 0^2 = \mu^2 = 1$$

$$P(|X - 0| \geq k\sigma) = P(|X| \geq \frac{3}{2}) = 1 - \int_{-\frac{3}{2}}^{\frac{3}{2}} \frac{1}{2\sqrt{3}} dx = 1 - \frac{\sqrt{3}}{2} \approx 0.134$$

Chebyshev's inequality guarantees an upper bound of $\frac{1}{k^2} = \frac{4}{9} \approx 0.444$